

Business Economics

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Topic 5: Decision Rights and Multiple Tasks

Objectives:

- 1) Explain the trade-off of specialization in task assignments
- 2) Identify the types of firm growth and the factor that determine them
- 3) Identify Matrix, Mixed, and Network organizations

Bundling tasks into jobs

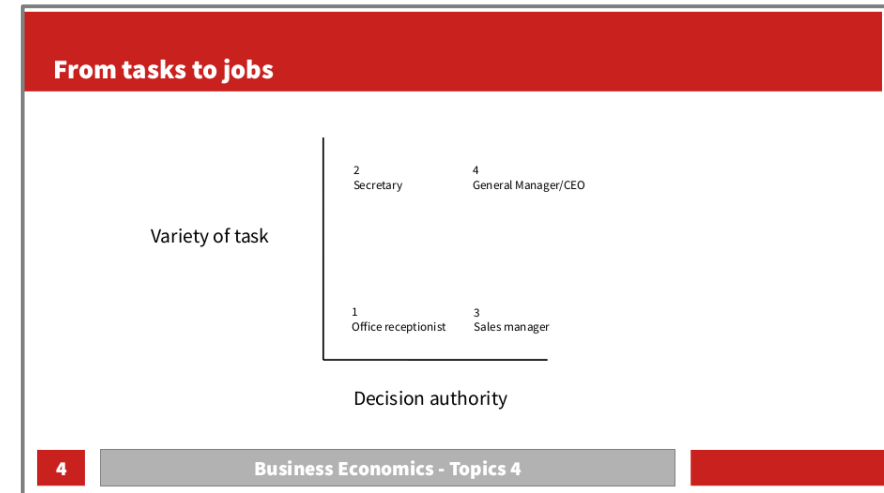
So far, we have discussed one of the dimensions of a job: decision authority

We move now to the second dimension: the variety of tasks

When bundling tasks into jobs, there are two options

Specialized task assignment

Broad task assignment



Bundling tasks into jobs

Example:

Taylor Inc is a financial consultancy company, specialized in international taxation and ESG.

Let's consider just two *functions* that have to be done in the company:

- 1) Selling consultancy services
- 2) Providing consultancy services

Notice that these *functions* can be partitioned into multiple small tasks

- 1) Selling: finding new clients, contact them, visit them and present services, closing contracts.
- 2) Providing the service: meetings to understand the situation, prepare solutions, present solutions

For simplicity, we should ignore the small tasks for now.

Bundling tasks into jobs

Example:

How can Taylor Inc. bundle the tasks into jobs?

At least 4 options make sense, let's see why

1 job (no specialization)

2 jobs (Sales and Service)

2 jobs (ESG. and Taxation)

4 jobs (fully specialized)

	Sale	Service
Taxation	Task 1	Task 2
ESG	Task 3	Task 4

Bundling tasks into jobs

Cost and Benefit of Specialized Task assignments

Benefits	Costs
- Comparative advantage - Economies of scale - No need for cross-training expenses	- Forgone complementarities (selling and product-design in tailored products; 2 related steps in an assembly line: audio system and speakers) - Coordination costs (regular meetings+new orders; exceptions handling, information systems) - Functional Myopia (decisions are not considering the big picture: selling products than will not fulfill client's requirements) - Reduced flexibility (what if the specialized worker is sick or on vacation?)

Bundling tasks into jobs

Example 1: analyze the benefits/costs for the specialized task assignment in Taylor Inc.

When fully specialization is better?

Example 2: repeat the same analysis for a Bank:

Tasks: lending and selling insurances

Clients: individuals and corporations

Bundling of Jobs into Subunits

Managers are confronted with a similar economic problem (“trade-off) when assigning jobs to business units, subsidiaries, departments.

Groups/subunits lower communication/coordination costs within the group

However, managers must coordinate across groups

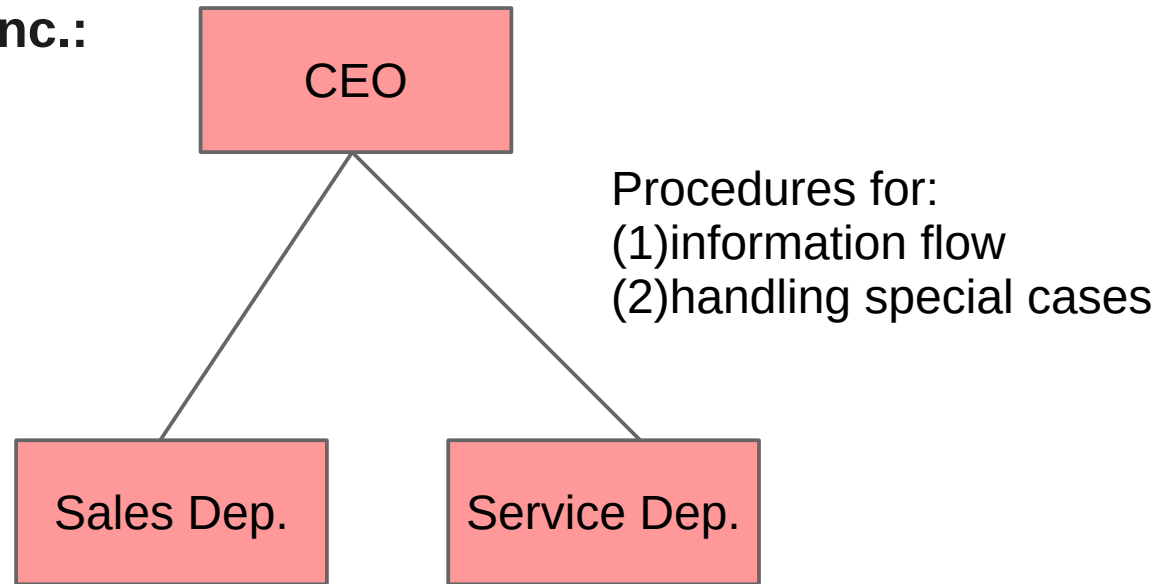
How to group?

- 1) by function ([Apple](#))
- 2) by product-type or geography ([Aena](#))
- 3) there are more options!

Grouping by Function

The idea here is to group jobs into a functional specialty: sales, finance, R&D, operations.

In the case of Taylor Inc.:



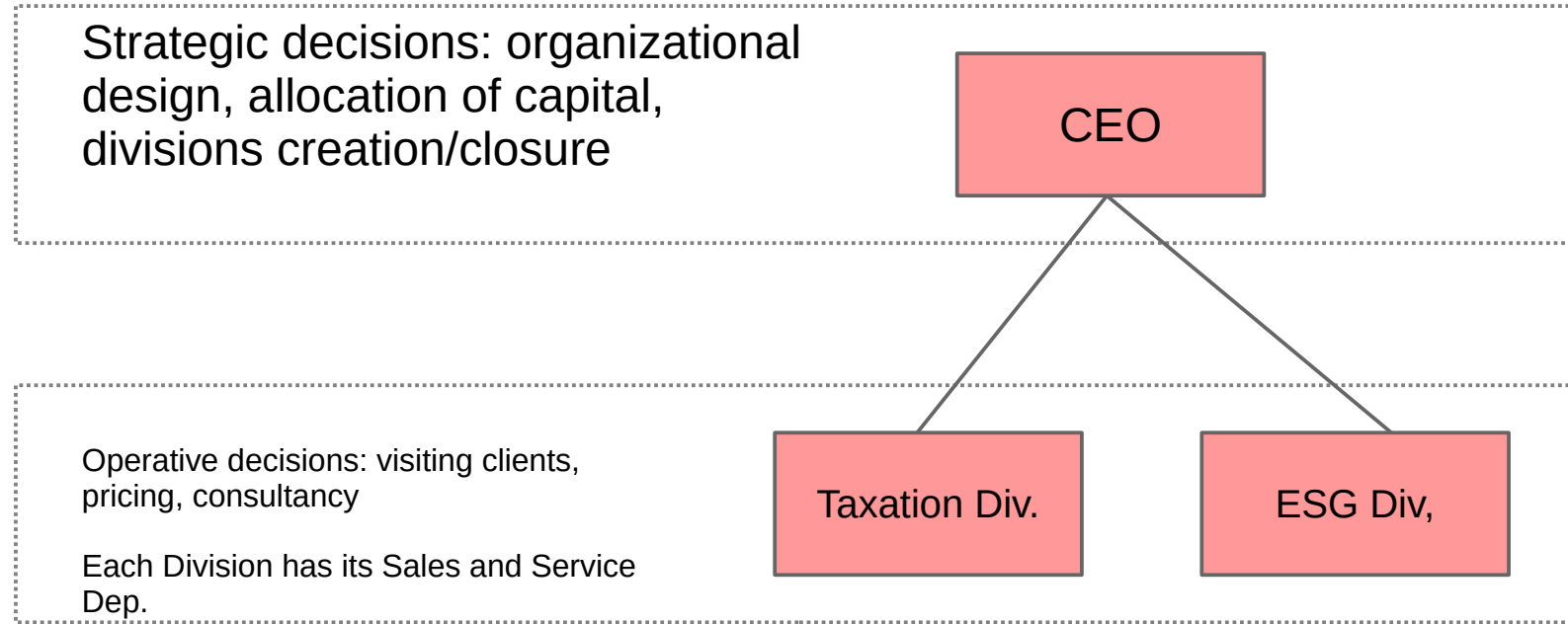
Trade-offs of grouping by function

Benefits	Costs
- Effective coordination within areas - Generation of functional expertise - Clear promotion path - Economies of scale	- Opportunity cost of the time/resources spent in coordination across areas - Lack of focus on the big picture: clients, operative solutions - Less effective use of product or geographic information

Grouping by Product-type or Geography

Mostly known as multidivisional form

The jobs are grouped into business units based on products or locations



Trade-offs of grouping by product or geography

Benefits	Costs
- Decisions rights for operation are located where the relevant knowledge is. - Lower coordination cost across departments within a division - Senior management focuses on the overall performance and main strategy	- units optimization might not be equivalent to the firm's value optimization (interdependencies and synergies: shared resources and units competition) - Splitting personnel of the same department makes more difficult to transfer new knowledge.

Where functional units work best?

Small companies (although there are exemptions for this rule: Apple)

Homogeneous products and markets

Slow rate of innovation in the industry

How to get the best of both systems?

Matrix Organizations: *functional departments* but the employees from the departments are *assigned to units* (products, geography, specific projects)

Double reporting: functional manager and product manager

Departments (functional unit) serve to develop field knowledge and career, as well as to evaluate performance (specific knowledge from the unit + comments of product manager)

Example: In the case of hospitals, indicate the product/services and functional units.

Example 2: In the case of construction companies, indicate the product/services and functional units.

How to get the best of both systems?

Matrix Organizations enable employees to focus on the overall business unit, keeping functional supervision in place

Problems

- 1) intersection of authority lines (solution: compensation scheme)
- 2) higher influence cost
- 3) complex management can delay decision making

Mixed and Network organizations

Mixed: firms use more than one method to organize subunits: some of them use functional design whereas others use product grouping

Ex. Banks and “premium banking” using cross-trained executives for selling multiple products to sophisticated clients. At the same time, for regular clients, the banks have an executive that redirect cases to different areas in cases needed (loans, mortgages, Mutual funds,...)

Network: division based on function/geography/product and work-groups act (or are) as independent organizations with no formal lines of authority.

Ex. Keiretsu.

Summary

Main concepts:

- Task → jobs
- Specialization vs broad task assignment
- Centralization vs decentralization
- Jobs → units
- Assignment by functionality or product/geography
- Matrix and Network designs

Cases to Discuss

Identify a bank/consultancy/manufacturer in Spain.

Read annual reports and news. Identify their organizational structure and provide an explanation and comparison.

10 min, 7-11 slides.